

BEACH ORANGETHORPE HOTEL III, LLC
PO BOX 489
BUENA PARK, CA 90621-0489

DUONG VAN CHAU
205 CAMPBELL AVE.,
ALTOONA, PA 16602

DEAR MEMBER:

ATTACHED IS YOUR COPY OF THE 2020 PARTNERSHIP FORM 1065 SCHEDULE K-1. THIS SCHEDULE SUMMARIZES YOUR INFORMATION FROM THE PARTNERSHIP. THIS INFORMATION HAS BEEN PROVIDED TO THE INTERNAL REVENUE SERVICE WITH THE U.S. PARTNERSHIP RETURN OF INCOME, FORM 1065.

THE INFORMATION PROVIDED ON THIS SCHEDULE SHOULD BE ENTERED ON YOUR TAX RETURN, IN ACCORDANCE WITH THE INSTRUCTIONS IN SCHEDULE K-1, PAGE 2. IF YOUR RETURN WILL BE PREPARED BY YOUR ACCOUNTANT OR ATTORNEY, YOU SHOULD PROVIDE A COPY OF THIS SCHEDULE TO THE PREPARER WITH YOUR OTHER TAX INFORMATION.

THE IRS INSTRUCTIONS FOR ENTERING THIS SCHEDULE K-1 INFORMATION ON YOUR INCOME TAX RETURN ARE AVAILABLE FROM OUR WEBSITE AT WWW.CBIZ.COM/ACCOUNTING-TAX/SERVICES/TAX/PRIVATE-CLIENT-SERVICES.

IF YOU HAVE A LOSS ON YOUR SCHEDULE K-1, THE LOSS MAY BE LIMITED BY THE AT RISK PROVISIONS OF SECTION 465 OF THE INTERNAL REVENUE CODE, THE PASSIVE LOSS LIMITATIONS OF SECTION 469, OR BY BASIS LIMITATIONS. PLEASE CONSULT YOUR TAX ADVISOR FOR ADDITIONAL GUIDANCE.

WE THANK YOU FOR THE OPPORTUNITY TO SERVE YOU.

VERY TRULY YOURS,

BEACH ORANGETHORPE HOTEL III, LLC

**Schedule K-1
(Form 1065)**Department of the Treasury
Internal Revenue Service**2020**

For calendar year 2020, or tax year

beginning

ending

**Partner's Share of Income, Deductions,
Credits, etc.**

▶ See separate instructions.

☐ Final K-1☐ Amended K-1

OMB No. 1545-0123

**Part III Partner's Share of Current Year Income,
Deductions, Credits, and Other Items****Part I Information About the Partnership****A** Partnership's employer identification number
81-1757974**B** Partnership's name, address, city, state, and ZIP code**BEACH ORANGETHORPE HOTEL III, LLC**
PO BOX 489
BUENA PARK, CA 90621-0489**C** IRS Center where partnership filed return ▶
E-FILE**D** ☐ Check if this is a publicly traded partnership (PTP)**Part II Information About the Partner****E** Partner's SSN or TIN (Do not use TIN of a disregarded entity. See instructions.)
160-92-9181**F** Name, address, city, state, and ZIP code for partner entered in E. See instructions.**DUONG VAN CHAU**
205 CAMPBELL AVE.,
ALTOONA, PA 16602**G** ☐ General partner or LLC
member-manager☒ Limited partner or other LLC
member**H1** ☒ Domestic partner☐ Foreign partner**H2** ☐ If the partner is a disregarded entity (DE), enter the partner's:

TIN _____ Name _____

I1 What type of entity is this partner? **INDIVIDUAL****I2** If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here ☐**J** Partner's share of profit, loss, and capital:

	Beginning	Ending
Profit	3.4480381 %	3.4480381 %
Loss	3.4480381 %	3.4480381 %
Capital	3.4480381 %	3.4480381 %

Check if decrease is due to sale or exchange of partnership interest ☐**K** Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	\$ 7,956.	\$ 14,023.
Qualified nonrecourse financing	\$	\$
Recourse	\$ 0.	\$ 0.

☐ Check this box if Item K includes liability amounts from lower tier partnerships.**L Partner's Capital Account Analysis
SEE STATEMENT**

Beginning capital account	\$ 526,634.
Capital contributed during the year	\$
Current year net income (loss)	\$ 14,344.
Other increase (decrease) (attach explanation)	\$
Withdrawals & distributions	\$ ()
Ending capital account	\$ 540,978.

M Did the partner contribute property with a built-in gain or loss?☐ Yes ☒ No If "Yes," attach statement. See instructions.**N Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)**

Beginning	\$
Ending	\$

1 Ordinary business income (loss)
14,716.**2** Net rental real estate income (loss)**3** Other net rental income (loss)**4a** Guaranteed payments for services**4b** Guaranteed payments for capital**4c** Total guaranteed payments**5** Interest income
1.**6a** Ordinary dividends**6b** Qualified dividends**6c** Dividend equivalents**7** Royalties**8** Net short-term capital gain (loss)**9a** Net long-term capital gain (loss)**9b** Collectibles (28%) gain (loss)**9c** Unrecaptured section 1250 gain**10** Net section 1231 gain (loss)**11** Other income (loss)**12** Section 179 deduction**13** Other deductions**14** Self-employment earnings (loss)**21** ☐ More than one activity for at-risk purposes***22** ☐ More than one activity for passive activity purposes*

*See attached statement for additional information.

For IRS Use Only

SCHEDULE K-1 NONDEDUCTIBLE EXPENSES, BOX 18, CODE C

DESCRIPTION	PARTNER FILING INSTRUCTIONS	AMOUNT
PENALTIES		373.
TOTAL TO SCHEDULE K-1, BOX 18, CODE C		373.

SCHEDULE K-1 BUSINESS INTEREST EXPENSE, BOX 20, CODE N

DESCRIPTION	PARTNER FILING INSTRUCTIONS	AMOUNT
BUSINESS INTEREST EXPENSE (INCLUDED IN ORDINARY BUSINESS INCOME (LOSS))	SEE PARTNERS INSTRUCTIONS	136.
TOTAL TO SCHEDULE K-1, BOX 20, CODE N		136.

SCHEDULE K-1 CURRENT YEAR NET INCOME (LOSS) AND
OTHER INCREASES(DECREASES)

DESCRIPTION	AMOUNT	TOTALS
ORDINARY INCOME (LOSS)	14,716.	
INTEREST INCOME	1.	
SCHEDULE K-1 INCOME SUBTOTAL		14,717.
NONDEDUCTIBLE EXPENSES	-373.	
SCHEDULE K-1 DEDUCTIONS SUBTOTAL		-373.
NET INCOME (LOSS) PER SCHEDULE K-1		14,344.

SCHEDULE K-1 ITEM L. PARTNER'S CAPITAL ACCOUNT ANALYSIS

BEGINNING CAPITAL ACCOUNT METHOD USED - TAX BASIS

List of Codes Used in Schedule K-1 (Form 1065)

Box Number / Item		Where to report or where to find further reporting information. Page numbers refer to this instruction.
1. Ordinary business income (loss). Determine whether the income (loss) is passive or nonpassive and enter on your return as follows.		
	Passive loss	See page 8
	Passive income	Schedule E (Form 1040), line 28, column (h)
	Nonpassive loss	See page 8
	Nonpassive income	Schedule E (Form 1040), line 28, column (k)
2. Net rental real estate income (loss)		See page 8
3. Other net rental income (loss)		
	Net income	Schedule E (Form 1040), line 28, column (h)
	Net loss	See Instructions for Form 8582
4a. Guaranteed payment Services		See instructions for Schedule E (Form 1040)
4b. Guaranteed payment Capital		See instructions for Schedule E (Form 1040)
4c. Guaranteed payment Total		See page 8
5. Interest income		Form 1040 or 1040-SR, line 2b
6a. Ordinary dividends		Form 1040 or 1040-SR, line 3b
6b. Qualified dividends		Form 1040 or 1040-SR, line 3a
6c. Dividend equivalents		See page 9
7. Royalties		Schedule E (Form 1040), line 4
8. Net short-term capital gain (loss)		Schedule D (Form 1040), line 5
9a. Net long-term capital gain (loss)		Schedule D (Form 1040), line 12
9b. Collectibles (28%) gain (loss)		28% Rate Gain Worksheet, line 4 (Schedule D instructions)
9c. Unrecaptured section 1250 gain		See page 9
10. Net section 1231 gain (loss)		See page 9
11. Other income (loss)		
	Code A. Other portfolio income (loss)	See page 9
	Code B. Involuntary conversions	See page 9
	Code C. Section 1256 contracts & straddles	Form 6781, line 1
	Code D. Mining exploration costs recapture	See Pub. 535
	Code E. Cancellation of debt	See page 9
	Code F. Section 743(b) positive adjustments	See page 10
	Code G. Section 965 inclusion	See page 10
	Code H. Income under subpart F (other than inclusions under section 951A)	See page 10
	Code I. Other income (loss)	See page 10
12. Section 179 deduction		See page 11
13. Other deductions		
	Code A. Cash contributions (60%)	See page 11
	Code B. Cash contributions (30%)	See page 11
	Code C. Noncash contributions (50%)	See page 11
	Code D. Noncash contributions (30%)	See page 11
	Code E. Capital gain property to a 50% organization (30%)	See page 11
	Code F. Capital gain property (20%)	See page 11
	Code G. Contributions (100%)	See page 11
	Code H. Investment interest expense	Form 4952, line 1
	Code I. Deductions - royalty income	Schedule E (Form 1040), line 19
	Code J. Section 59(e)(2) expenditures	See page 12
	Code K. Excess business interest expense	See page 12
	Code L. Deductions - portfolio (other)	Schedule A, line 16
	Code M. Amounts paid for medical insurance	Schedule A, line 1, or Schedule 1 (Form 1040), line 16
	Code N. Educational assistance benefits	See page 12
	Code O. Dependent care benefits	Form 2441, line 12
	Code P. Preproductive period expenses See the Partner's Instructions	See page 12
	Code Q. Commercial revitalization deduction from rental real estate activities	See Form 8582 instructions
	Code R. Pensions and IRAs	See page 12
	Code S. Reforestation expense deduction	See page 12
	Codes T through U. Reserved for future use	
	Code V. Section 743(b) negative adjustments	See page 12
	Code W. Other deductions	See page 12
	Code X. Section 965(c) deduction	See page 13
Code 14. Self-employment earnings (loss)		
	Note. If you have a section 179 deduction or any partner-level deductions, see page 13 before completing Schedule SE (Form 1040).	
	Code A. Net earnings (loss) from self-employment	Schedule SE (Form 1040)
	Code B. Gross farming or fishing income	See page 13
	Code C. Gross non-farm income	See page 13

List of Codes Used In Schedule K-1 (Form 1065) (continued)

Box Number / Item	Where to report or where to find further reporting information. Page numbers refer to this instruction.
15. Credits	
Code A. Low-income housing credit (section 42(j)(5)) from pre-2008 buildings	See page 13
Code B. Low-income housing credit (other) from pre-2008 buildings	See page 13
Code C. Low-income housing credit (section 42(j)(5)) from post-2007 buildings	See page 13
Code D. Low-income housing credit (other) from post-2007 buildings	See page 13
Code E. Qualified rehabilitation expenditures (rental real estate)	See page 13
Code F. Other rental real estate credits	See page 14
Code G. Other rental credits }See the Partner's Instructions	See page 14
Code H. Undistributed capital gains credit	Schedule 3 (Form 1040), line 12, box a
Code I. Biofuel producer credit	See page 14
Code J. Work opportunity credit	See page 14
Code K. Disabled access credit	See page 14
Code L. Empowerment zone employment credit	See page 14
Code M. Credit for increasing research activities	See page 14
Code N. Credit for employer social security and Medicare taxes	See page 14
Code O Backup withholding	See page 14
Code P Other credits	See page 14
16. Foreign transactions	
Code A. Name of country or U.S. possession	Form 1116, Part I
Code B. Gross income from all sources	Form 1116, Part I
Code C. Gross income sourced at partner level	Form 1116, Part I
Foreign gross income sourced at partnership level	
Code D. Reserved for future use	
Code E. Foreign branch category	Form 1116, Part I
Code F. Passive category	Form 1116, Part I
Code G. General category	Form 1116, Part I
Code H. Other	Form 1116, Part I
Deductions allocated and apportioned at partner level	
Code I. Interest expense	Form 1116, Part I
Code J. Other	Form 1116, Part I
Deductions allocated and apportioned at partnership level to foreign source income	
Code K. Reserved for future use	
Code L. Foreign branch category	Form 1116, Part I
Code M. Passive category	Form 1116, Part I
Code N. General category	Form 1116, Part I
Code O. Other	Form 1116, Part I
Other information	
Code P. Total foreign taxes paid	Form 1116, Part II
Code Q. Total foreign taxes accrued	Form 1116, Part II
Code R. Reduction in taxes available for credit	Form 1116, line 12
Code S. Foreign trading gross receipts	Form 8873
Code T. Extraterritorial income exclusion	Form 8873
Codes U and V. Reserved for future use	
Code W. Section 965 information	See page 15
Code X. Other foreign transactions	See page 15
Codes Y and Z. Reserved for future use	
Code AA. Gross receipts per Regulations 1.59A-7(e)(2)-current year	
Code AB. Gross receipts per Regulations 1.59A-7(e)(2)-first preceding year	
Code AC. Gross receipts per Regulations 1.59A-7(e)(2)-second preceding year	

List of Codes Used in Schedule K-1 (Form 1065) (continued)

Box Number / Item	Where to report or where to find further reporting information. Page numbers refer to this instruction.
16. Foreign transactions (continued)	
Code AD. Gross receipts per Regulations 1.59A-7(e)(2)-third preceding year	
Code AE. Base erosion tax benefits from base erosion tax payments per Regulations 1.59A-7(d).	
Code AF. Amounts included in the denominator of the base erosion percentage per Regulations 1.59A-2(e)(3)(i)	
Code AG. Section 951A (GILTI) information	
Code AH. Foreign-derived intangible income (FDII) information	
Code AI. Section 864(c)(8) foreign partner's distributive share of the deemed sale items on transfer of partnership interest	
17. Alternative minimum tax (AMT) items	
Code A. Post-1986 depreciation adjustment	See Instructions for Form 6251
Code B. Adjusted gain or loss	See Instructions for Form 6251
Code C. Depletion (other than oil & gas)	See Instructions for Form 6251
Code D. Oil, gas, and geothermal - gross income	See Instructions for Form 6251
Code E. Oil, gas, and geothermal - deductions	See Instructions for Form 6251
Code F. Other AMT items	See Instructions for Form 6251
18. Tax-exempt income and nondeductible expenses	
Code A. Tax-exempt interest income	Form 1040 or 1040-SR, line 2a
Code B. Other tax-exempt income	See page 15
Code C. Nondeductible expenses	See page 15
19. Distributions	
Code A. Cash and marketable securities	See page 15
Code B. Distribution subject to section 737	See page 16
Code C. Other property	See page 16
20. Other information	
Code A. Investment income	Form 4952, line 4a
Code B. Investment expenses	Form 4952, line 5
Code C. Fuel tax credit information	Form 4136
Code D. Qualified rehabilitation expenditures (other than rental real estate)	See page 16
Code E. Basis of energy property	See page 16
Code F. Recapture of low-income housing credit for section 42(j)(5) partnerships	See page 16
Code G. Recapture of low-income housing credit for other partnerships	See page 16
Code H. Recapture of investment credit	See Form 4255
Code I. Recapture of other credits	See page 16
Code J. Look-back interest-completed long-term contracts	See Form 8697
Code K. Look-back interest-income forecast method	See Form 8866
Code L. Dispositions of property with section 179 deductions	See page 17
Code M. Recapture of section 179 deduction	See page 17
Code N. Business interest expense (information item)	See page 17
Code O. Section 453(l)(3) information	Sch. 2 (Form 1040), line 8
Code P. Section 453A(c) information	Sch. 2 (Form 1040), line 8
Code Q. Section 1260(b) information	Sch. 2 (Form 1040), line 8
Code R. Interest allocable to production expenditures	See Regulations sections 1.263A-8 through -15
Code S. Capital construction fund (CCF) nonqualified withdrawals	Sch. 2 (Form 1040), line 10
Code T. Depletion deduction	See Pub. 535
Code U. Reserved for future use	
Code V. Unrelated business taxable income	See page 18

List of Codes Used in Schedule K-1 (Form 1065) (continued)

Box Number / Item		Where to report or where to find further reporting information. Page numbers refer to this instruction.
20. Other information (continued)		
	Code W. Precontribution gain (loss)	Form 8949 and/or Schedule D (Form 1040); or Form 4797
	Code Y. Net investment income	See Instructions for Form 8960
	Code Z. Section 199A information	Form 8995 or Form 8995-A
	Code AA. Section 704(c) information	See page 18
	Code AB. Section 751 gain (loss)	See page 18
	Code AC. Section 1(h)(5) gain (loss)	See page 19
	Code AD. Deemed section 1250 unrecaptured gain	See page 19
	Code AE. Excess taxable income	See Instructions for Form 8990
	Code AF. Excess business interest income	See page 19
	Code AG. Gross receipts for section 448(c)	See page 19
	Code AH. Other information	See page 19

TAXABLE YEAR

2020

Member's Share of Income, Deductions, Credits, etc.

029421 12-15-20
CALIFORNIA SCHEDULE

K-1 (568)

TYB 01-01-2020 TYE 12-31-2020
160-92-9181
DUONGVAN CHAU

205 CAMPBELL AVE
ALTOONA PA 16602

81-1757974 201604810284
BEACH ORANGETHORPE HOTEL III LLC

PO BOX 489
BUENA PARK CA 90621-0489

A What type of entity is this member? • See instructions.

- (1) ☒ Individual (4) ☐ C Corporation (7) ☐ LLP (10) ☐ Exempt Organization
(2) ☐ S Corporation (5) ☐ General Partnership (8) ☐ LLC (11) ☐ Disregarded Entity
(3) ☐ Estate/Trust (6) ☐ Limited Partnership (9) ☐ IRA/Keogh/SEP

B Is this member a foreign member? • ☐ Yes ☒ No

C Enter member's percentage (without regard to special allocations) of:

	(i) Beginning		(ii) Ending
Profit	3.4480	% •	3.4480 %
Loss	3.4480	% •	3.4480 %
Capital	3.4480	% •	3.4480 %

D Member's share of liabilities:

	(i) Beginning		(ii) Ending
Nonrecourse	\$ 7,956.00	• \$	14,023.00
Qualified nonrecourse financing	\$.00	• \$	.00
Recourse	\$ 0.00	• \$	0.00

E Reportable transaction or tax shelter registration number(s)

F (1) Check here if this is a publicly traded partnership as defined in IRC Section 469(k)(2) ☒ ☐

(2) Check here if this is an investment partnership (R&TC Sections 17955 and 23040.1) ☒ ☐

G Check here if this is: • (1) ☐ A final Schedule K-1 (568) (2) ☐ An amended Schedule K-1 (568)

H Is this member a resident of California? • ☐ Yes ☒ No

Member's name

DUONG VAN CHAU

Member's identifying number

160-92-9181

I Analysis of member's capital account: Check the box • (1) ☒ Tax Basis (2) ☐ GAAP (3) ☐ IRC Section 704(b) Book (4) ☐ Other (explain)

(a) Capital account at beginning of year	(b) Capital contributed during year	(c) Member's share of line 3, line 4, and line 7 Form 568, Schedule M-2	(d) Withdrawals and distributions	(e) Capital account at end of year, combine column (a) through column (d)
• 526,634 •		• 14,344 •	()	• 540,978

Caution: Refer to Member's Instructions for Schedule K-1 (568) before entering information from this schedule on your California return.

	(a) Distributive share items	(b) Amounts from federal Schedule K-1 (1065)	(c) California adjustments	(d) Total amounts using California law. Combine col. (b) and col. (c)	(e) California source amounts and credits
Income (Loss)	1 Ordinary income (loss) from trade or business activities	14,716	27	• 14,743	▶ 14,743
	2 Net income (loss) from rental real estate activities			•	▶
	3 Net income (loss) from other rental activities			⊙	⊙
	4 Guaranteed payments to members			•	▶
	5 Interest income	1		• 1	▶ 1
	6 Dividends			•	▶
	7 Royalties			•	▶
	8 Net short-term capital gain (loss) ...			•	▶
	9 Net long-term capital gain (loss)			•	▶
	10 a Total gain under IRC Section 1231 (other than due to casualty or theft)			•	▶
	b Total loss under IRC Section 1231 (other than due to casualty or theft)			•	▶
	11 a Other portfolio income (loss). Attach schedule			•	▶
	b Total other income			•	▶
	c Total other loss			•	▶
Deductions	12 Expense deduction for recovery prop. (IRC Section 179)				
	13 a Charitable contributions				
	b Investment interest expense				
	c 1 Total expenditures to which an IRC Section 59(e) election may apply ...				
	2 Type of expenditures				
	d Deductions related to portfolio income				
	e Other deductions				

Member's name

DUONG VAN CHAU

Member's identifying number

160-92-9181

	(a) Distributive share items	(b) Amounts from federal Schedule K-1 (1065)	(c) California adjustments	(d) Total amounts using California law. Combine col. (b) and col. (c)	(e) California source amounts and credits
Credits	15 a Total withholding (equals amount on Form 592-B if calendar year LLC)			•	▶
	b Low-income housing credit				
	c Credits other than line 15b related to rental real estate activities				
	d Credits related to other rental activities				
	e Nonconsenting nonresident member's tax paid by LLC				
	f Other credits - Attach required schedules or statements				
Alternative Minimum Tax (AMT) items	17 a Depreciation adjustment on property placed in service after 1986			⊙	⊙
	b Adjusted gain or loss				
	c Depletion (other than oil & gas)				
	d Gross income from oil, gas, and geothermal properties				
	e Deductions allocable to oil, gas, and geothermal properties				
	f Other alternative minimum tax items				
Tax-exempt income and Nondeductible Expenses	18 a Tax-exempt interest income				
	b Other tax-exempt income				
	c Nondeductible expenses STMT	373	27	400	400
Distributions	19 a Distributions of money (cash and marketable securities)			⊙	
	b Distributions of property other than money			⊙	
Other Information	20 a Investment income	1		1	1
	b Investment expenses				
	c Other information. See instructions ...	STMT			

Member's name

DUONG VAN CHAU

Member's identifying number

160-92-9181

Other Member Information

Table 1 - Member's share of nonbusiness income from intangibles (source of income is dependent on residence or commercial domicile of the member):

Interest ... \$		Sec. 1231 Gains/Losses \$		Capital Gains/Losses \$	
Dividends \$		Royalties		Other	

FOR USE BY MEMBERS ONLY - See instructions.

Table 2 - Member's share of distributive items.

- A. Member's share of the LLC's business income. See instructions. \$
- B. Member's share of nonbusiness income from real and tangible personal property sourced or allocable to California.

Capital Gains/Losses	\$	Rents/Royalties	\$
Sec. 1231 Gains/Losses	\$	Other	\$

- C. Member's distributive share of the LLC's property, payroll, and sales:

Factors	Total within and outside California	Total within California
Property: Beginning	\$	\$
Property: Ending	\$	\$
Property: Annual rent expense	\$	\$
Payroll	\$	\$
Sales	\$	\$

CA SCHEDULE K-1

COLUMN C RECONCILIATION

DESCRIPTION	AMOUNT
ORDINARY INCOME (LOSS)	14,716.
INTEREST INCOME	1.
NONDEDUCTIBLE EXPENSES	<373.>
TOTAL TO SCHEDULE K-1 ANALYSIS OF CAPITAL ACCOUNT, COLUMN C	14,344.

CA SCHEDULE K-1

NONDEDUCTIBLE EXPENSES

DESCRIPTION	AMOUNT
PENALTIES	373.
STATE INCOME/FRANCHISE TAXES	27.
TOTAL TO SCHEDULE K-1, LINE 18C	400.

CA SCHEDULE K-1

AGGREGATE GROSS RECEIPTS FOR AMT EXCLUSION

DESCRIPTION	AMOUNT
GROSS SALES LESS RETURNS	15,039.
INTEREST	1.
TOTAL	15,040.